

Pearson Edexcel International GCSE

Mark Scheme

Summer 2026 — Predicted Paper (Moderate)

In Economics (4EC1)

Paper 2: Macroeconomics and the Global Economy

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Mark Scheme: Paper 2 — Macroeconomics and the Global Economy (4EC1/02) — Predicted (Moderate)

1(a)	Question Which one of the following is a benefit of economic growth? Answer / Indicative Content AO1 1 mark The only correct answer is: B Higher living standards A is not correct because higher unemployment is a sign of weak, not strong, growth. C is not correct because economic growth typically raises tax revenue. D is not correct because exports often rise when an economy grows.	(1)
1(b)	Question Which one of the following is an example of a leakage from the circular flow of income? Answer / Indicative Content AO1 1 mark The only correct answer is: C Household savings A is not correct because consumer spending is a flow within the economy. B is not correct because investment is an injection into the circular flow. D is not correct because government spending is an injection into the circular flow.	(1)
1(c)	Question What is meant by the term inflation? Answer / Indicative Content AO1 2 marks Award up to 2 marks for a correct definition: A sustained/continuous rise in the general price level (1) in an economy over a period of time (1) OR The rate at which the average level of prices is rising (1) causing a fall in the purchasing power of money (1) <i>Accept any other appropriate response</i>	(2)
1(d)	Question Describe one impact an ageing population may have on an	(2)

	economy. Answer / Indicative Content AO1 2 marks Award 1 mark for identification of an impact and 1 mark for development. One impact is increased government spending on healthcare and pensions (1) as elderly people generally require more medical care and receive state pensions (1) OR One impact is a shrinking labour force (1) as more people retire than enter the workforce, reducing the country's potential output (1) <i>Accept any other appropriate response</i>	
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1(e)	Question Calculate the value of Vietnam's GDP in \$bn in 2023. (Show working.) Answer / Indicative Content AO2 2 marks Award 1 mark for correct method ($C + I + G + X - M$): $280 + 85 + 55 + 320 - 300$ (1) Award 1 mark for correct final answer: = \$440bn (1) Award 2 marks if the correct answer of \$440bn is given even without working shown. Award 1 mark only if \$bn units are missing (e.g. just 440). Do not award marks for the formula alone.	(2)
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1(f)	Question Draw the effects of the subsidy on rice in Vietnam. Answer / Indicative Content AO2 3 marks Award 1 mark for a rightward (outward) shift of the supply curve, labelled S1. Award 1 mark for a lower new equilibrium price, labelled (e.g. P1). Award 1 mark for a higher new equilibrium quantity, labelled (e.g. Q1).	(3)
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1(g)	Question Explain one reason why unemployment may fall during economic growth. Answer / Indicative Content	(3)
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	AO2 3 marks Award 1 mark for identification of a relevant reason. Award 1 mark for development. Award 1 mark for response in context (e.g. Vietnam). One reason is that higher economic growth leads to higher demand for goods and services (1). In response, firms in Vietnam need to hire more workers to increase production (1), which reduces unemployment from 2.3% to an even lower rate (1). <i>Accept any other appropriate response.</i>	
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1(h)	Question With reference to the data and your knowledge of economics, analyse the benefits to consumers in Vietnam of being a member of ASEAN. Indicative Content — AO2 (3 marks) / AO3 (3 marks) AO2 and AO3 • A trading bloc is a group of countries that reduces trade barriers such as tariffs and quotas between members. • Vietnamese consumers have access to a wider variety of goods from 10 ASEAN countries — products that may not be produced at home, such as specialist Thai, Indonesian or Singaporean goods. • Reduced tariffs mean that imports from other ASEAN members are cheaper, lowering prices for Vietnamese consumers on items such as electronics, food and clothing. • Competition from 680 million people's worth of producers encourages domestic Vietnamese firms to improve quality and keep prices low. • Lower prices increase real incomes/purchasing power of Vietnamese households, raising living standards. • Access to better technology and innovation through imports (e.g. smartphones, vehicles) improves consumer welfare.	(6)
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Level	Mark	Descriptor
	0	• No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).

Level	Mark	Descriptor
		Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	- Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

2(a)	Question Which one of the following is an example of a progressive tax? Answer / Indicative Content AO1 1 mark The only correct answer is: C Income tax rates that rise as income rises A is not correct because a flat sales tax takes the same rate from all, not a higher rate from higher earners. B is not correct because a fixed excise duty is an indirect tax, not progressive. D is not correct because a fixed amount per household is regressive — it forms a larger share of low incomes.	(1)
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2(b)	Question Which one of the following is the best description of structural unemployment? Answer / Indicative Content AO1 1 mark The only correct answer is: B Workers whose skills no longer match available jobs A is not correct because this describes frictional unemployment. C is not correct because this describes cyclical unemployment. D is not correct because this describes seasonal unemployment.	(1)
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2(c)	Question State one possible impact of a high rate of inflation on consumers. Answer / Indicative Content AO1 1 mark Award 1 mark for any one impact: • Reduces the purchasing power/real value of money • Fall in real incomes if wages do not rise as fast as prices • Falling standard of living • Reduces the real value of savings • Uncertainty about future prices discouraging spending <i>Accept any other appropriate response</i>	(1)
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2(d)	Question What is meant by the term direct tax? Answer / Indicative Content AO1 2 marks Award up to 2 marks for a correct definition: A tax paid directly to the government (1) on the income, wealth or profits of individuals or firms (1)	(2)
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	OR A tax on the income of individuals or profits of firms (1) where the burden of the tax cannot be passed on to anyone else (1) <i>Accept any other appropriate response</i>	
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2(e)	Question Explain one way increased government spending can reduce unemployment in a country such as Brazil. Answer / Indicative Content AO2 3 marks Award 1 mark for identification of a relevant way. Award 1 mark for development. Award 1 mark for response in the Brazilian context. One way is that government infrastructure spending directly creates jobs in the construction industry (1). Building roads, schools and hospitals requires labour such as construction workers, engineers and architects (1). With a 45% increase in infrastructure spending in Brazil, many previously unemployed workers can be hired to complete these projects (1). <i>Accept any other appropriate response.</i>	(3)
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2(f)	Question Label the remaining three stages of the economic cycle. Answer / Indicative Content AO2 3 marks Award 1 mark for correctly labelling Boom (at the peak of the curve). Award 1 mark for correctly labelling Downturn (or Slowdown, between peak and trough). Award 1 mark for correctly labelling Recovery (rising portion after the trough).	(3)
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2(g)	Question Assess the possible benefits for Brazil of reducing income tax rates. Indicative Content — AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks) AO2 and AO3 — benefits - Income tax is a direct tax on individuals' earnings; progressive rates apply higher percentages to higher incomes. - Lower income tax rates give workers more disposable income, which boosts consumer spending in Brazil. - Higher consumer spending can stimulate aggregate demand, leading to higher economic growth.	(9)
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	• Lower income tax may act as an incentive to work longer hours or enter the labour force, increasing productivity. • Reducing tax rates can encourage skilled workers and entrepreneurs to remain in Brazil rather than emigrate — reducing 'brain drain'. • Lower taxes may reduce tax avoidance and the informal/black economy, ultimately raising overall tax revenue in the long run. AO4 — drawbacks / evaluation • A tax cut reduces government revenue in the short term, potentially increasing Brazil's fiscal deficit. • Reduced revenue may force cuts in public services such as healthcare, education or infrastructure, hurting low-income groups. • Lower income tax may widen the gap between rich and poor if the wealthy benefit more than the poor, increasing inequality. • Higher spending could cause demand-pull inflation if the economy is near full capacity. • The effectiveness depends on whether consumers spend or save the extra income — wealthy households tend to save more. • Overall judgement: the benefits depend on the size of the cut, the state of the economy, and who benefits most from the cut.	
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Level	Mark	Descriptor
	0	• No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).

Level	Mark	Descriptor
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

3(a)	Question Which one of the following is an example of foreign direct investment (FDI)? Answer / Indicative Content AO2 1 mark The only correct answer is: B A German car company building a factory in India A is not correct because this is an example of tourism/consumer spending abroad. C is not correct because this is an example of importing goods. D is not correct because this is an example of exporting goods.	(1)
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3(b)	Question How many US dollars (\$) would ₹8,300 be exchanged for (at \$1 = ₹83)? Answer / Indicative Content AO2 1 mark The only correct answer is: B \$100 A is not correct because this is $₹8,300 \div 830$. C is not correct because this is $₹8,300 \div 8.3$. D is not correct because this is $₹8,300 \times 10$. <i>Method: $8,300 \div 83 = \\$100$.</i>	(1)
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3(c)	Question Draw the effects of a Kenyan shilling depreciation on Kenyan tea sold abroad. Answer / Indicative Content AO2 3 marks A depreciation makes Kenyan tea cheaper to foreign buyers, raising demand. Award 1 mark for a rightward shift of the demand curve, labelled D1. Award 1 mark for a higher new equilibrium price, labelled (e.g. P1). Award 1 mark for a higher new equilibrium quantity, labelled (e.g. Q1).	(3)
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3(d)	Question Analyse the possible benefits of globalisation for consumers in a country such as India. Indicative Content — AO2 (3 marks) / AO3 (3 marks) AO2 and AO3 Globalisation is the increasing interconnectedness of world economies through trade, investment and technology.	(6)
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	- Indian consumers can access a wider variety of goods — from imported electronics and cars to foreign food and fashion — that may not be produced domestically. - Competition from foreign producers and economies of scale have driven down prices on many goods, such as smartphones, clothing and household items. - Record global trade of \$33 trillion reflects consumers benefiting from cheaper imports. - Increased choice and lower prices raise real incomes and living standards. - Technology transfer and innovation from global firms (e.g. in IT and online services) benefit Indian consumers.	
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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	- Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). - Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	- Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	- Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

3(e)	Question Assess how an increase in import tariffs may affect consumers in a country such as Kenya. Indicative Content — AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks) AO2 and AO3 — negative effects on consumers - A tariff is a tax on imported goods, raising their domestic price. - With sugar tariffs rising from 35% to 50%, imported sugar becomes more expensive in Kenya. - Consumers face higher prices for sugar and for sugar-based	(9)
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	products such as soft drinks, baked goods and confectionery. • The rise in prices reduces real incomes and purchasing power of Kenyan consumers. • Consumer choice is reduced as some foreign suppliers may exit the Kenyan market altogether. • Tariffs can act like a regressive tax, hurting low-income households most because they spend a higher share of income on food. AO4 — counter-points / evaluation • Tariffs may protect Kenyan domestic sugar producers, keeping jobs in sugar farming — indirectly benefitting some consumers who are workers. • Government earns tariff revenue which could fund services that benefit consumers (e.g. schools, hospitals). • Domestic production may increase, so consumers may still access sugar at competitive prices from local producers. • The overall impact depends on the price elasticity of demand for sugar and the availability of domestic substitutes. • Overall judgement: in the short run the tariff is likely to raise prices and hurt consumers; in the long run it depends on whether domestic producers can expand to meet demand.	
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	0	• No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity

Level	Mark	Descriptor
		and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

4(a)	Question Calculate Japan's rate of inflation between 2022 and 2023. Answer / Indicative Content AO2 2 marks Award 1 mark for correct method (% change): $(104 - 100) \div 100 \times 100$ (1) Award 1 mark for the correct answer: = 4% (1) Award 2 marks if the correct answer of 4% is given even without working. Award 1 mark if % symbol is missing. Do not award marks for the formula alone.	(2)
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4(b)	Question Analyse the possible effects on Japanese households of raising interest rates. Indicative Content — AO2 (3 marks) / AO3 (3 marks) AO2 and AO3 • Interest rates are the cost of borrowing and the reward for saving. • Raising rates from –0.1% to 0.1% makes borrowing more expensive for Japanese households — mortgage repayments and loan costs rise. • This reduces disposable income for households with variable-rate debts, leaving them less to spend on other goods and services. • Savers benefit from higher returns on bank deposits, which is particularly important for Japan's ageing population relying on savings income. • Higher interest rates may strengthen the yen, making imported goods cheaper for Japanese households but exports less competitive. • Reduced consumer spending may slow economic growth, potentially affecting household job security and wage growth. • Higher rates discourage new borrowing, so households may delay major purchases such as homes and cars.	(6)
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Level	Mark	Descriptor
	0	• No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a

Level	Mark	Descriptor
		lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

4(c)	Question Evaluate the use of government subsidies to support the renewable energy industry in a country such as Japan. Indicative Content — AO2 (4 marks) / AO3 (4 marks) / AO4 (4 marks) AO2 and AO3 — advantages of subsidies • A subsidy is a government payment to suppliers to reduce their costs of production. • Subsidies of ¥20 trillion lower production costs for solar panel, wind turbine and EV battery producers, shifting supply to the right. • Lower production costs translate into lower prices for renewable energy, making it more affordable and accessible for Japanese households and firms. • Subsidies help Japan achieve its target of carbon neutrality by 2050 by reducing emissions and combating climate change. • Supporting a new industry creates jobs in manufacturing, installation and research — reducing unemployment and boosting economic growth. • Investment in green technology builds comparative advantage for Japan, potentially creating future exports and reducing dependence on imported fossil fuels. • Positive externalities of production are generated — less air pollution, better public health, and a more sustainable economy. AO4 — disadvantages / evaluation • ¥20 trillion is an opportunity cost: the money could have been spent on healthcare, education or pensions, which may be needed more in an ageing society. • Subsidies may lead to inefficiency — firms may rely on	(12)
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	government support rather than innovating, and the most efficient firms may not receive subsidies. • Taxpayers ultimately fund the subsidies, so they raise the tax burden or add to government debt. • There is a risk of over-production or 'picking winners' incorrectly if the government supports technologies that do not become commercially viable. • Other countries (EU, US, China) could retaliate with their own subsidies, leading to costly subsidy wars. • Market-based alternatives such as carbon taxes or emissions trading may be more efficient in reducing emissions. • Overall judgement: subsidies can be effective if well-targeted and time-limited, but depend on government setting clear conditions, choosing the right technologies, and monitoring outcomes carefully.	
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Level	Mark	Descriptor
	0	• No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity

Level	Mark	Descriptor
		and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).